

random chance. If we examine enough metrics, we expect to see several false positives—metrics that seem to predict returns, but are merely the result of chance—that won't persist outside the data tested. It is possible that this is one such spurious correlation. While there are good reasons why the gross-profits-to-total-assets measure should identify high-quality value stocks and there is some weak evidence for it identifying higher-quality value stocks, there's insufficient evidence, or outperformance, to definitively conclude that it will pick high-quality value stocks that beat low-quality value stocks in the future.

Deep Value Stocks

We already know that the enterprise multiple is the best metric for identifying undervalued stocks and for sorting stocks into over- and undervalued portfolios. With his metric, Novy-Marx only claims outperformance in line with value stocks identified on the basis of the price-to-book-value ratio. As we saw in Chapter 4, the price-to-book-value ratio is a middling predictor of returns and not particularly strong when sorting between over- and undervalued stocks. Perhaps the best solution is the simplest one: Sort the value portfolio on the basis of valuation using the enterprise multiple. Given that the enterprise multiple is so useful when identifying and sorting undervalued and overvalued stocks in the general stock market, it would be remarkable if it *didn't* work in the value decile to further identify undervalued stocks. Figure 10.4 shows the performance of portfolios of stocks again constructed from the value portfolios in Figure 10.2, and further divided into two halves using the enterprise multiple. We're going to define "deep value" here as the cheapest of the cheap—the cheapest half of the value decile. Thus the "Deep Value Stocks" portfolio contains the half of the stocks from the value portfolio with the highest ratio of EBIT to enterprise value, and the "Glamour Value Stocks" portfolio contains the half with the lowest ratio.

The All Value Stocks portfolio still returned 12.50 percent compound, against 8.36 compound for All Stocks. The Glamour Value portfolios—the more expensive half of the value stocks—underperformed the All Value Stocks portfolio, returning 8.84 percent compound over the full period. The Deep Value portfolios substantially outperformed, generating a compound return of 15.72 percent over the full period. The Deep Value Stocks portfolios' outperformance leads to a significant difference in ending capital. Over 63 years, \$10,000 invested in All Stocks generates \$1.45 million, in All Value Stocks \$14.9 million, in Glamour Value Stocks \$1.9 million, and in Deep Value Stocks an extraordinary \$85.4 million. Table 10.1 contains the performance statistics for the All Value Stocks, Glamour Value, and Deep Value portfolios over the full period.